

TIGHTENING PURSE STRINGS



Steep inflation and lack of discretionary spending power have impacted sales of mass-market products across sectors, hurting manufacturers



Low-income households and rural consumers have cut down on spending on high-value items like two-wheelers and small cars and on daily groceries after the pandemic



The impact of the loss of income, low salaries, and high inflation has been felt across sectors, from home appliances to FMCG products



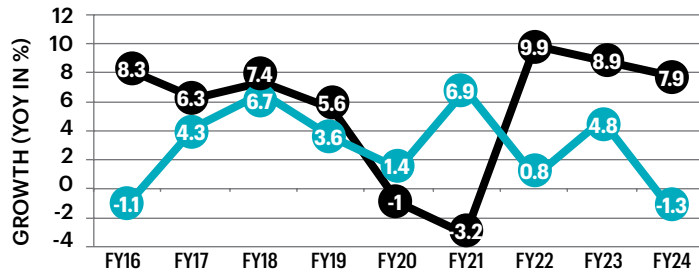
A recovery in rural consumption is visible in 2024 with volume growth of mass-market FMCG products, appliances and two-wheelers



For a full recovery, however, companies are betting on good agricultural yield, higher government spending on welfare, and muted inflation

THE RURAL-URBAN DIVIDE

Urban spends outpaced rural for a third straight year in FY24 • Divergence between rural and urban spending increased in the pandemic years

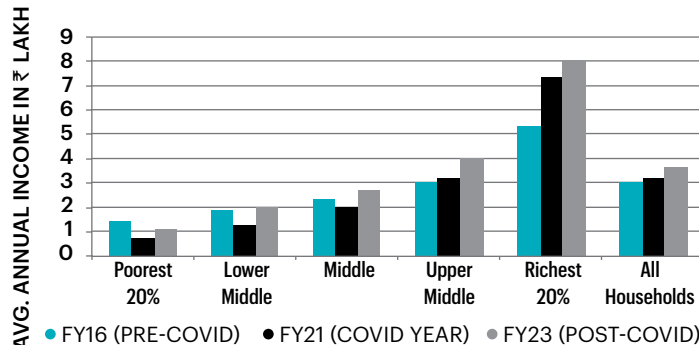


— URBAN SPENDING — RURAL SPENDING

SOURCE ECOSCOPE BY MOTILAL OSWAL FINANCIAL SERVICES

TRACKING INCOME LEVELS

Covid significantly impacted the income levels of the bottom 60% of households • Income of the poorest 20% has fallen since FY16

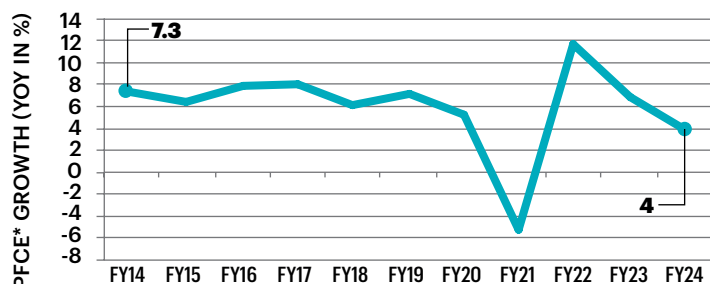


• FY16 (PRE-COVID) • FY21 (COVID YEAR) • FY23 (POST-COVID)

SOURCE PRICE'S ICE 360° SURVEYS 2016, 2021, 2023

SLOW LANE

Private final consumption expenditure has been muted since Covid-19 • Net household savings in financial instruments hit a multi-year low in FY23



*PRIVATE FINAL CONSUMPTION EXPENDITURE

SOURCE MoSPI